Supply and demand

1. Demand

Demand is how much of a good buyers are willing and able to buy at each price, over a given time. The law of demand says that when the price of a good goes up, the quantity demanded goes down, and when the price goes down, the quantity demanded goes up, if nothing else changes. Example: when the price of rice in the palengke rises from 45 to 60 pesos a kilo, families buy fewer kilos or switch to cheaper food. On a graph, the demand curve slopes downward from left to right.

2. Supply

Supply is how much of a good sellers are willing and able to sell at each price. The law of supply says that when the price goes up, the quantity supplied goes up, because selling becomes more profitable. When the price goes down, sellers offer less. On a graph, the supply curve slopes upward from left to right.

3. Market equilibrium

The equilibrium price is the price where the quantity demanded equals the quantity supplied. On a graph, it is where the demand and supply curves cross. At a price above equilibrium there is a surplus: sellers have more than buyers want, so prices tend to fall. At a price below equilibrium there is a shortage: buyers want more than sellers have, so prices tend to rise. The market keeps moving toward equilibrium.

4. What shifts demand

A change in price moves you along the demand curve. A change in anything else shifts the whole curve. Demand shifts when these change: buyers' income, the prices of related goods (substitutes and complements), tastes and trends, the number of buyers, and what buyers expect about future prices. Example: if a milk tea drink becomes popular on TikTok, demand for it shifts to the right.

5. What shifts supply

Supply shifts when these change: the cost of inputs like fuel, fertilizer or labor; technology; the number of sellers; weather and natural events; and government taxes or subsidies. Example: a typhoon destroys onion farms in Nueva Ecija, so fewer onions reach the market. The supply curve shifts to the left.

6. When supply drops

When supply decreases and demand stays the same, the supply curve shifts left. At the old price there is now a shortage, so the equilibrium price rises and the equilibrium quantity falls. In short: supply drops, price goes up, and fewer units are sold. This is why onion and vegetable prices jump after a strong typhoon. When supply increases, the opposite happens: the price falls and the quantity sold rises.

7. Price controls

A price ceiling is a legal maximum price, set below equilibrium; it causes shortages. A price floor is a legal minimum price, set above equilibrium; it causes surpluses. A suggested retail price (SRP) is a government guide price for basic goods.